

During the last two decades, the manner of trading in the markets has changed — from the traditional floor (trading ring) outcry to screen based trading with brokers linked to the major stock exchanges. Shares that are traded in stock exchanges are now dematerialized — making sales / purchases and transfers easy. Payment for shares sold is made within a few days.

Information has exploded. At one time there was an acute dearth. Now it is like a tornado. There are very good reports on companies. There are probing analyses done on performance. There are studied forecasts made. There are intelligent conclusions drawn. The information is there. Any investor can access it. And the investor must access it and, having accessed it, he must, manage the information.

In terms of categories of investors, the largest investor segment in the Indian stock market is that of the financial institutions and mutual funds. Foreign institutional investors (FIIs) and Non-Resident Indians (NRIs), too, have a significant presence. By mid-2010, they accounted for about 12% of the investments made in the market. FIIs often impact market movement far beyond their actual share because they can and do move large amounts of money in and out of the market owing to their global perspective.

Notwithstanding the considerable institutionalisation of the Indian market is, it is still rumour and insider driven. Even after the many scams, shares continue to be bought on the basis of tips, and for the short term. The average investor does little or no research (even though more information than he can handle is now available) and makes his purchase or sale decision on the strength of an article that he may have read or a conversation with a friend. This is usually because the average investor is unclear on how to analyze companies and is not equipped to arrive at an investment decision. Consequently, he buys and sells with inadequate information and often suffers needless losses. At no time was this more evident than in the first four months of 1992 and later in 2000 when even prices of the “dogs” doubled. It was a period not dissimilar to Wall Street in the mid 1960s which Mr. Harold Q. Masur eloquently described in his book, *The Broker*:

“In the super heated economy of the late sixties there was an illusion of endless prosperity. On Wall Street the bulls were rampant. Private companies were going public at arbitrary prices that generated huge profits for the promoters. Mutual funds were plunging recklessly into new untested issues. Glamour stocks soared to premiums that discounted not only the future but the next millennium. Money, it seemed, was spermatic. Properly invested in the womb of Wall Street,